DEAL INTELLIGENCE

Capital Square's $115M Sale: The DST Exit That Proves Liquidity Is for Sponsors, Not Just Assets

A 137% total return for 1031 investors sounds like a win. The real story is who captured the timing advantage.

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A source-grounded Light Tower Insight. The complete note follows.

Capital Square sold 2000 West Creek in Richmond for $115 million, returning 137 percent total to its 115 DST investors. That headline reads like a clean multifamily win: buy at $103 million in 2019, sell seven years later for a $12 million gain, plus $17.5 million in distributions. The math works. The timing works. The market should ask who really captured the liquidity.

The answer is Capital Square itself. The sponsor bought the asset in a DST structure, held it through a period of rent growth and rate compression, and exited before the full weight of the 2022-2023 rate cycle reset cap rates across the Sun Belt. The 115 exchange investors got their 1031 deferral, their distributions, and a total return that any private equity fund would envy. But the sponsor got the most valuable thing in commercial real estate right now: a clean exit with a known buyer at a price that clears.

That is not a criticism. It is a market signal. The DST structure is designed to give individual investors access to institutional-quality assets with a defined hold period and a tax-efficient exit. Capital Square delivered exactly that. The question for the broader market is whether this kind of liquidity is available to the sponsor who bought at the wrong basis, or the owner who needs to sell because the debt is maturing, not because the business plan is complete.

The reported facts are straightforward. Capital Square bought 2000 West Creek in 2019 for $103 million. The property is a 373-unit garden-style apartment community on 23 acres in Richmond's West Creek submarket. The buyer in the $115 million sale is undisclosed. Colliers represented the seller. The DST program held the asset for seven years, distributed $17.5 million to investors, and returned 137 percent total on the original equity. The per-unit price works out to roughly $308,000, which is within range for a well-located Class A suburban multifamily asset in a growing MSA.

The capital stack interpretation starts with the basis. Capital Square bought at $103 million in 2019, which was likely near the peak of the pre-COVID cycle for suburban multifamily. But Richmond's apartment market performed strongly through the pandemic, with rent growth driven by in-migration from higher-cost Northeast markets and a constrained new supply pipeline in the West

Creek submarket. By the time the sponsor was ready to sell, the asset had generated enough cash flow to return $17.5 million in distributions while still appreciating in value. The $115 million sale price represents a roughly 12 percent gain on the original purchase price, but the total return is amplified by the leverage and the distributions.

The incentive map is where the deal gets interesting. The DST investors needed a 1031 exchange vehicle with a defined hold period and a credible exit. Capital Square needed to demonstrate that its DST platform can source, operate, and exit assets at a return that justifies the fee structure. The undisclosed buyer needed a stabilized multifamily asset in a growing market with a basis that pencils at current interest rates. All three parties got what they wanted. The question is whether the next DST exit will look as clean when the purchase basis is higher, the interest rate environment is tighter, and the rent growth trajectory is less certain.

The pattern here is not about multifamily broadly. It is about the timing advantage that accrues to sponsors who bought before the rate shock and sold before the cap rate expansion fully repriced the asset class. Capital Square's 2019 purchase date means the asset was acquired when 10-year Treasury yields were around 1.9 percent and multifamily cap rates in secondary Sun Belt markets were in the 5.5 to 6.0 percent range. The 2026 sale date means the exit occurred after the Federal Reserve's rate hiking cycle had stabilized but before the full weight of higher-for-longer rates had forced a broad valuation reset across the multifamily sector. The sponsor captured the window.

The stakes are straightforward for other DST sponsors, 1031 exchange investors, and multifamily owners with assets purchased in 2020 or 2021. The next wave of DST exits will involve assets bought at higher bases, with less rent growth runway and more competition from newly delivered supply. The liquidity that Capital Square found in Richmond may not be available in every market at every basis. The market should test whether the next DST exit can match this return profile, or whether the timing advantage has already been spent.

The deal is not proof that multifamily DSTs always work. It is proof that buying at the right moment in the cycle, operating through a period of strong rent growth, and exiting before the rate environment turns hostile can produce a result that satisfies every party in the capital stack. The next sponsor who tries to replicate this outcome will need a different basis, a different market, and a different set of assumptions about where interest rates and cap rates are headed. That is the real test.

SOURCES

— RE Business Online — https://rebusinessonline.com/capital-square-sells-2000-west-creek-apartments-in-richmond-for-115m/

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